

# INFORM

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# IT'S SHOW-TIME.



We went to Russia for the interviews in this issue of our customers magazine Inform. The size of this country fascinates us western Europeans time and again. Landing in Moscow or St. Petersburg after a flight of two or three hours, we are only at the entrance to the Russian Federation. If our destination was, for example, Vladivostok, a further eight hours of flying would be ahead of us. However, the short travelling time wasn't the reason why we picked our interview partners. The intention was rather to report on enterprises engaged in the PET and packaging industry. The professionalism and working methods of our Russian friends persuaded us and they don't fall short in any way of those of the best producers in western Europe.

Two of the world's biggest plastics fairs are just around the corner. "The Drinktec" in Munich and the "K" in Düsseldorf are pioneering events for the entire branch of the industry. In Munich we present our latest 72-cavity PET mould. It runs on the also newly-developed Netstal PET-LINE 2400. We will also demonstrate the production of an 8-gram preform featuring a 29/25 thread. The outstanding characteristics of these preforms are the extremely thin wall section and the resulting record-breaking cycle time.

At the "K" we will present our latest innovations for the production of tubes. You'll be surprised at how easily IML equipment can be connected to these moulds and how much flexibility you'll gain as a result in your production. From the field of two-component packaging, we reveal new trends and how they can be translated with our mould technology.

It's showtime! We look forward to welcoming you to our exhibition stand in Munich and Düsseldorf.

Stefan Zatti

Member of the Board, Otto Hofstetter AG



## Cover.

Inform spoke to Igor Gusev, the President of MIR Upakovki, in St. Petersburg.

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# HOME MARKET OPPORTUNITY.



**MIR Upakovki (MIR)** is one of the most well-known enterprises of **Russia's** packaging industry. The Management is spurred on by a constant striving for precision and reliability, and its claim to constantly develop new solutions. In the discussion at the company's domicile in Sertolovo, **President Igor Gusev, General Manager Oleg Lavinyukov** and **the Head of Development, Alexander Elov**, allow us an insight into the company and its objectives.

The 350 employees of MIR produce two million plastic packaging articles per day.

### **MIR was founded in St. Petersburg in 1999. What have been the most important milestones so far?**

Igor Gusev: The decisive step in my view was the move away from St. Petersburg and the foundation of the production plant here in Sertolovo. To set up the factory on this site of 7000 square metres cost us much time and energy, but it was the decisive step towards MIR as we see it here today.

Alexander Elov: What strikes me when looking back on the first 13 years are the many technological achievements and successful projects that have brought us ahead step by step. Other milestones, for me, were the opening of our works in Krasnoyarsk, the new storehouse here in Sertolovo and our branch in Moscow.

**"ANYONE WITH A GOOD IDEA CAN COUNT ON OUR SUPPORT."**

Alexander Elov, Head of Development

### **What prompted you to move away from St. Petersburg?**

Igor Gusev: We reached our capacity limits and an expansion at that location wasn't possible. Sertolovo is politically not part of St. Petersburg, but belongs to the region of Leningrad where the government has set up a programme to attract new investors, thereby boosting the economy. A further advantage of our new domicile is its situation from a logistics point of view. We're directly on the connecting route to Scandinavia and only ten kilometres from the ring road.

### **MIR used to produce cosmetics. Why did you enter the packaging trade?**

Igor Gusev: We made our products with a Finnish partner and couldn't find suitable packaging articles for them. No-

body was able to supply us with what we wanted. It wasn't profitable to import the receptacles. This is why, back in 1999, we decided to start our own packaging production. To this day, our way is to find our own solutions to problems.

### **How has MIR developed in Sertolovo?**

Igor Gusev: Very satisfactorily. In 2003 we took up bulk production, which secured us a very good start. We've been able to keep up the pace and have expanded our capacity on an ongoing basis. The site of originally 7000 square metres has grown to 20,000, and we shall soon open our fifth production hall. In combination with our works in Krasnoyarsk, we provide 350 employees with a good living. We process about 1000 tons of raw material per month, which means a daily output of two million articles. This results in annual sales of EUR 50 million.

### **What is your philosophy?**

Igor Gusev: We're permanently at the pulse of technological development. As a pioneer in our industry, we constantly endeavour to bring the latest available technology on to the Russian market. Take, for example, the thin-walled packaging products and in-mould labelling – it doesn't matter to us whether the customer is an internationally established brand or a start-up company. If they have a good idea for which they need a new technology, we support them.

### **How can this be financed?**

Igor Gusev: Our aim isn't to earn as much money as possible. We invest heavily in our plant and equipment, and our employees to give them the opportunity of becoming better acquainted with their tasks so that they can develop their talents. Money is important, but is not our only motive.

### **This way of thinking pays dividends. The client portfolio of MIR reads like the who's who of the brand world. Why do these enterprises buy from you?**

Oleg Lavinyukov: We always try to understand what our customers want. We compare these requirements with the technologies and innovations from our suppliers and ourselves. From this, we usually come up with ideas which surpass the expectations of our customers.

Igor Gusev: In my opinion, our customers opt for the future. If they start a project with us, they always have a long-term collaboration in mind. In other words, by deciding on MIR, they are choosing our stability, quality and customer orientation. They never go for the price.



This mould has been in operation continuously for more than five years with a downtime of only one day.



"OUR CUSTOMERS RELY ON  
STABILITY AND QUALITY.  
THEY NEVER GO FOR THE PRICE."

Igor Gusev, President, MIR Upakovki.

President Igor Gusev with MIR Upakovki has already won several awards for innovative products.

#### **You're interested in long-term partnerships, therefore?**

Igor Gusev: Absolutely. A customer gets not only the ideal packaging for their needs from us, but also our future-oriented thinking. It is important to us, also, that each customer has only one contact person at MIR. In this manner we're always aware of the next requirements as regards packaging, and able to advise accordingly. We are currently reorganizing our sales department with the intention of integrating our customers even better in the innovation process. In our first 13 years, we translated mainly existing ideas; now the time is now ripe for us to shape the market rather than the other way round.

#### **Is co-injection of packaging an example of this new philosophy?**

Igor Gusev: The idea was obvious. As we all know, caviar is very popular in Russia. It is often still packaged in glass jars, but glass is heavy and breaks easily. With the size of our country, transport over long distances is unavoidable. Weight and fragility have their effect on the price. We looked for a solution in the interest of lowering the logistic costs and found it in the co-injection technology.

#### **Is the development completed?**

Igor Gusev: Quite a few customers have grown to like it because the packaging displays very good properties. However, we want to further improve it. We're in search of the last five percent, the final touch.

#### **Why this effort?**

Oleg Lavinyukov: Deviations from tolerances are prohibited for these packaging articles. Segments such as baby food or pet food are delicate when it comes to hygiene and material odour. Deficient packaging could cause major damage to our customer's reputation and destroy our considerable investments in the development of this technology.

#### **Which means the zero-defect rate is your goal?**

Oleg Lavinyukov: Exactly. And this is why Otto Hofstetter AG is so important in this project. It is actively engaged in the development and has even set up a department for this purpose. Right now both companies are just investing, but we're confident that the effort will have been worth it several times over once production starts.

"WHEN IT COMES TO HYGIENE  
AND ODOUR, DEVIATIONS FROM THE  
TOLERANCES ARE PROHIBITED."

Oleg Lavinyukov, General Manager, MIR Upakovki



Plastic packaging with a barrier layer is one of the innovations launched on the Russian market by MIR Upakovki.

#### Which sector will grow –, food or non-food?

Igor Gusev: Both markets will grow. There's something like a sense of new beginnings in Russia. We were at such a low level that things can only improve. With time, intelligent thinking and money, there are enough tasks and areas in which something can be achieved. The building construction, non-food and food sectors will grow. Even smaller companies in the food trade don't just buy simple packaging containers any more. They've come to understand that, to have a chance on the shelves, their products must be well and attractively packed. This is why we've developed a project for small suppliers which offers them more scope.

#### What do your export plans look like?

Igor Gusev: Europe isn't a topic for us. It appears to me that the European market is allocated, i.e. no one sees a reason to change suppliers. The Russian market, on the other hand, offers us numerous opportunities. Our country has about 143 million inhabitants, but its industry isn't very developed yet. In other words, we won't run out of work in the near future. The next generation will perhaps venture into Europe, but for us there is no need to at this time.

#### Where will MIR Upakovki be in ten years from now?

Igor Gusev: The enterprise will be three times as big as

today. It will run production plants in central and southern Russia, and possibly a third one in the Urals. We want to broaden our network in order to further reduce the cost of logistics. As far as quality is concerned, we shall be at the top European level. My wish for MIR is for it to be a very popular employer in Russia. Hopefully, the new business unit will be established in ten years' time and we will also be an acknowledged first-class supplier in the automotive industry. We also want to be more creative than today. With good designers and much innovation, then we hope to attract attention and enjoy a good reputation as a European developer.

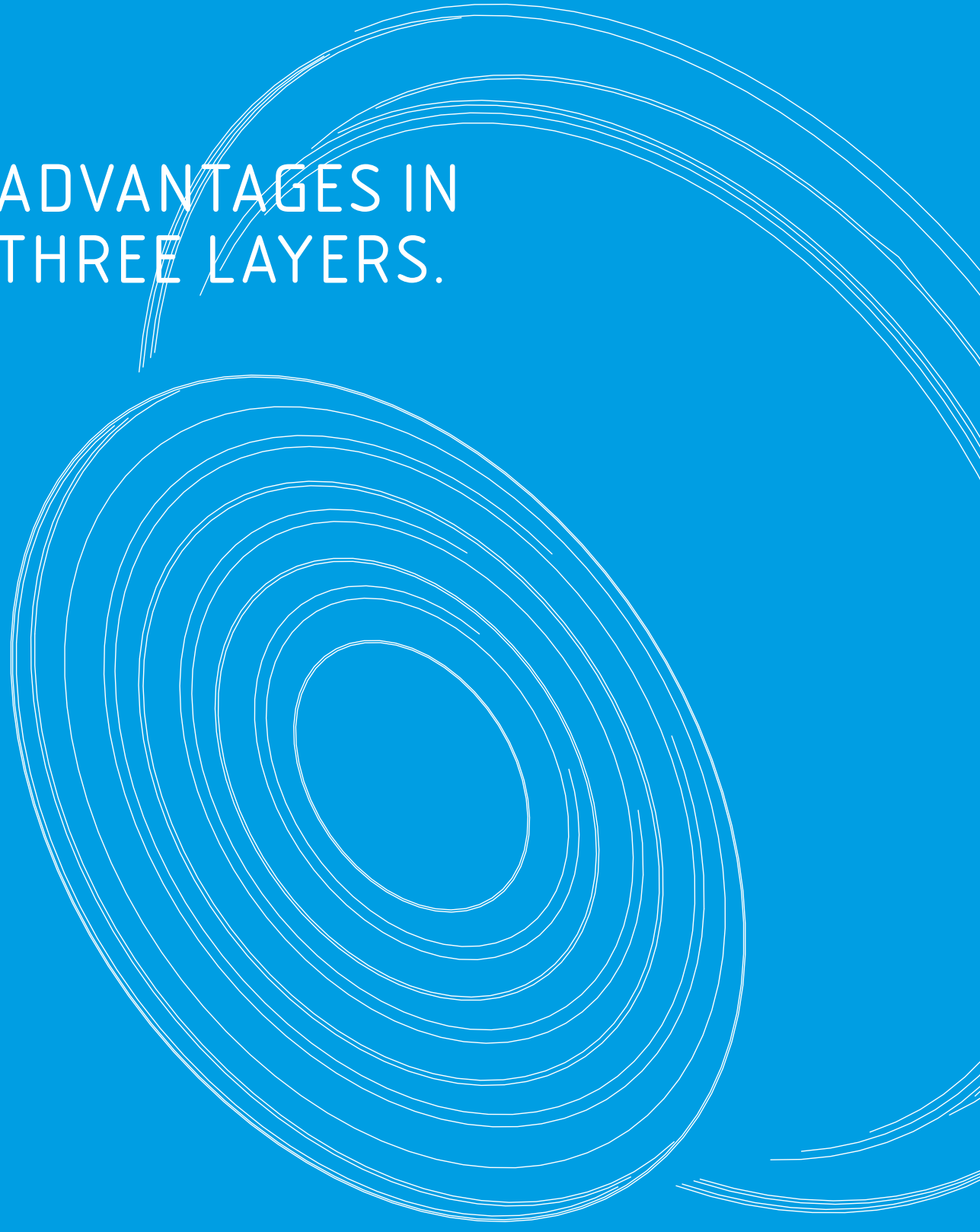
**Mr Gusev, Mr Lavinyukov, Mr Elov, many thanks for this informative discussion. We hope that MIR Upakovki surpasses your expectations.**



MIR Upakovki produces packaging containers for foodstuffs, paints and lacquers, cosmetics, hygiene and chemical products. The enterprise was founded in 1999. MIR Upakovki produces in Sertolovs, near St. Petersburg, and Krasnoyarsk, and has a branch in Moscow.

[www.miru.ru](http://www.miru.ru)

# ADVANTAGES IN THREE LAYERS.



Caviar is highly valuable and sensitive, and its packaging is a very decisive factor in the quality of the luxury product. A long-established technique applied to PET bottles is now finding its way into the foodstuffs industry: the multi-layer container with barrier. It offers foodstuffs producers a cost-effective, flexible and safe alternative to the conventional tin.

No question, a delicacy such as caviar must be packed properly. At present this means that the black pearls are normally packed into tins, which are coated on the inside and regarded as ideal for fresh caviar. The only real alternative so far have been glass jars of different sizes.

#### **Alternative packaging.**

A new alternative is now available: multi-layer packaging based on the co-injection technique. The concept was developed twenty years ago for the beverages trade and has proved its worth ever since in an increasing number of areas. Fruit juices, such as orange juice based on concentrate, sensitive dairy products and beer or wine benefit from this technique when it comes to shelf life and quality. Thanks to this innovation, the shelf life of, for example, beer is lengthened to up to six months. Without this barrier, the refreshing drink would be flat and tasteless after only one week.

#### **Improved shelf life.**

Otto Hofstetter AG has contributed decisively to the development of the multi-layer concept with co-injection. The company is now permanently engaged in bringing the technique to perfection. In cooperation with MIR Upakovki, a well-known Russian producer of packaging articles, the process has been adapted for the packaging industry. The production of barrier tubs for caviar has been running since summer 2011 and has been certified by the Russian Federal Research Institute of Fisheries and Oceanography VNIRO. The tested multi-layer container for salmon and caviar

provides microbiological safety for twelve months at storage temperatures from –6 to –4 degrees Celsius and eight months at 0 to +5 degrees Celsius.

#### **Barrier protection.**

The built-in barrier layer of EVOH copolymer is the key aspect of this technique. The properties of this material act as a gas barrier which keeps oxygen away while retaining the flavour and quality of the foodstuffs. Even in the case of sterilized or treated products, such as baby food, the barrier effectively protects the vitamin content.

## THE CO-INJECTION TECHNIQUE OFFERS MAXIMUM PRECISION FOR THE OXYGEN BARRIER.

The co-injection technique is a further advantage of the new development of Otto Hofstetter AG and MIR Upakovki. The precise process cannot be matched by conventional vacuum forming.

#### **Efficient production.**

The precision is due to the co-injection technique, which enables the packaging container to be made in one operation based on a two-stage process. In a first step, the container's outer and inner layer are injected through two channels, whereby the nozzle pin is fully opened. In the second step,



the barrier material, e.g. EVOH, is injected into the mould in parallel, but with a time delay. The exact distribution and height of the barrier material is achieved thanks to a highly precise hotrunner system.

#### Maximum effect.

The quantity of barrier material depends on various factors, but the aim is to keep the layer as thin as possible. At this time the wall section is less than one tenth of a millimetre. However, the barrier thickness can vary depending on the packaging article. The decisive factors are the product geometry, wall thickness, flow length and viscosity of the plastic materials. In the choice of the barrier material, it is important that the processing temperature is similar to that required by the other material component. There are virtually no limits as regards colour. The only aspect to be watched is that the colourant carrier is compatible with the basic plastic material.

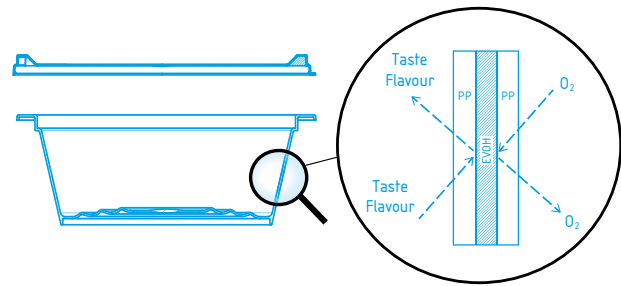
#### Parameters for success.

If you intend to produce multi-layer packaging using the co-injection technique, you must consider some important aspects in the development. The maximum protective effect is achieved only if the barrier layer covers the entire moulding surface without gaps. Even a small opening in the layer will increase the gas permeability with the result that the effect may drop to nearly zero.

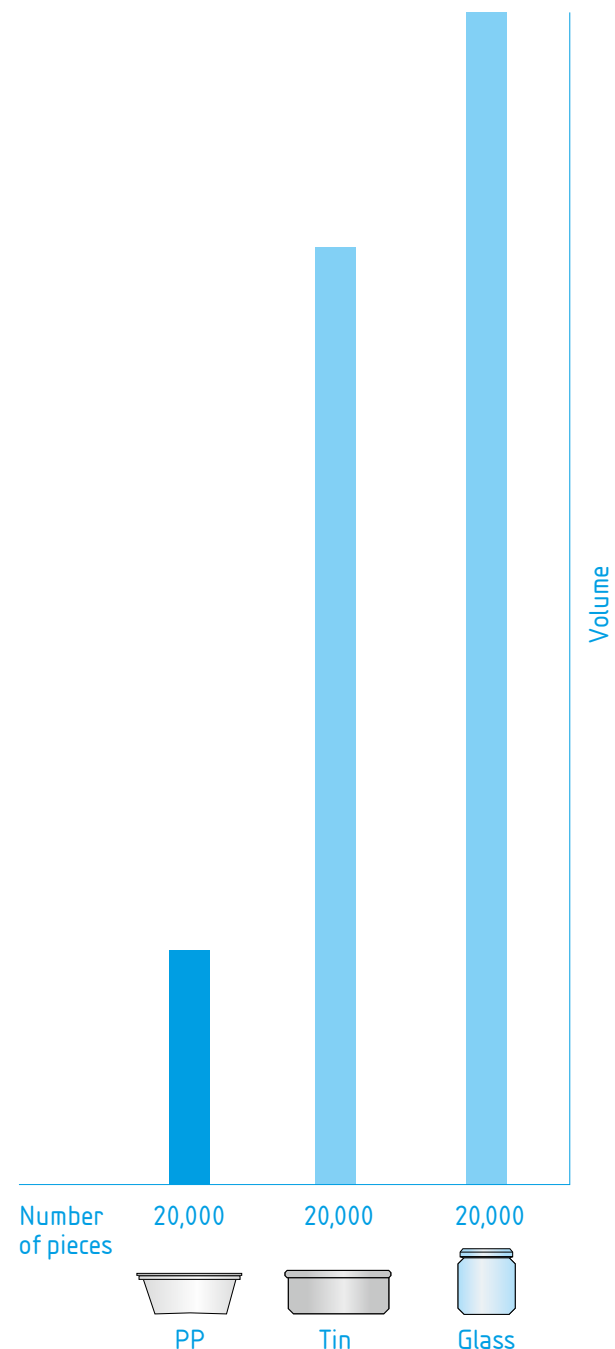
Simple shapes from a flow-technical point of view are the most suitable for the production of moulded articles with a barrier layer. In other words, shapes which allow the barrier layer to spread easily over the complete surface. If the packaging container features a U-shaped rim, the protective layer can be drawn right up to the lid-sealing area. Shapes that cause an interruption of the advancing flow front are less suitable.

#### The future has started.

Compared with tins and jars, polymer packaging products with a barrier layer are impressive in many respects. For the same capacity (product content) they are twenty times lighter than a glass jar and three times lighter than a tin. They are stackable – an important factor in both storage and transport. Another plus is the fact that fewer containers holding valuable foodstuffs are damaged or destroyed on delivery. In addition, it is possible to install an in-mould labelling (IML) system to increase the processing efficiency and enhance the design possibilities. Using transparent or coloured raw material enables further design variants to attract more attention on the shelf.



EVOH copolymer serves as a gas barrier and protects the filled goods.



Multi-layer packaging products not only have many technical advantages, but also massive weight and volume reductions.

A portrait of General Director Leonid Belyaev, a middle-aged man with grey hair, wearing a white button-down shirt. He is looking slightly to the right and holding a blue pen in his right hand. The background is a blurred industrial setting with green bottles visible on the left.

"OPEN TO  
NEW IDEAS."

In the last 15 years, General Director Leonid Belyaev has developed Europlast to become one of Russia's most successful companies.

**Europlast** is one of Russia's biggest producers of PET preforms and bottle closures. Apart from the six locations, the Association of plants operates a **granulate refinery** and a **PET recycling works**. Inform visited **General Director Leonid Belyaev** in Solnechnogorsk, a small town about 70 kilometres from Moscow. In the interview **he talks about his company and the future of the PET industry**.

Mr Belyaev, would you please give us a round-up of Europlast.

The enterprise was founded in 1997. We started in rented premises until we were able to purchase and renovate this building here in Solnechnogorsk. Europlast concentrates on

the production of PET preforms, screw closures for PET bottles and cardboard containers. We have further production plants in Saint Petersburg, Rostov-na-Donu, Kazan, Krasnoyarsk and Vladivostok. Last year we commissioned a logistics centre covering an area of 10,000 square metres.

### Which have been the important steps in the history of your enterprise?

We were supported in our start by Swiss technology. At the outset in 1997 we ran one machine from Netstal with an injection mould from Otto Hofstetter AG. In our first year we moulded 96 million preforms. Only two years later, we opened the factory in Rostov-na-Donu. After the erection of the new building in Solnechnogorsk in 2000, the other production plant followed step by step. An important milestone as regards quality was the certification of our production according to ISO 9001:2000 here at the main works. Today our preform's market share in Russia amounts to 26 per cent, also we produce more than 2 billion screw closures and more than 2.5 billion carton closures.

**"THE MARKET SHARE OF EUROPLAST'S PREFORMS IN RUSSIA IS 26 PERCENT."**

Leonid Belyaev, General Director

### Any plans for further expansion?

If everything goes as planned, we shall open a further production facility in Ykaterinburg this year. Organizationally it will be attached to this operation here in Solnechnogorsk, but it will get a complete infrastructure of its own. Apart from these production plants, the Europlast Group has two further operations.

### What are these?

The PET bottle recycling works, only a few kilometres from here, and the refinery for PET granulate, which is also domiciled here in Solnechnogorsk, are also part of our group.

### What prompted you to build the recycling works?

First was the environmental aspect and the idea of being able to cover the entire material cycle within the group. In Russia, however, the concept "from bottle to bottle" is still a very difficult undertaking. Although it has been established for years in many European countries, it is still far away here. There's no initiative from the state nor a private organization which encourages people to collect valuable raw material. We must see to it ourselves that we get the collected goods.

### What quantities are we talking about?

We process about 40 million bottles per month, from which roughly 800 tons of PET granulate and 200 tons of PET



Europlast relies on Swiss technology to produce PET preforms.

flakes can be recovered. The work is very complex because we don't get the collected material separated by colour. After sorting, the plastic passes through a multi-stage cleaning process before it is finally available again as ClearPET. This regranulate has been subjected to many tests and certifications, with the result that it can be reused for food packaging purposes.

### Do you use the regranulate for your production?

We've been able to negotiate a contract with Coca-Cola which allows us to admix 15 percent of recycled material to the virgin PET. A further agreement with PepsiCo is about to be signed.

### What's the capacity of the PET refinery?

The facility is one of the most advanced in the country. The plant produces approximately 100,000 tons of PET granulate per year, which is the third-biggest production quantity of all Russian works and a little more than 20 per cent of the entire inland production.

### Does this mean that the Europlast works obtain the raw material from Senegal?

All enterprises of the group are independent units. This means that Senegal sells to those users of PET which enable the highest profits. The same applies to the works making the preforms and closures. They, too, are free in the purchase of their raw material. Stiff competition reigns also on the raw material market and our production companies try to take advantage of this tight situation.

### Who are Europlast's biggest customers?

Most of our customers are brand producers of beer, water and milk. Among them are PepsiCo, Coca-Cola, Heineken,

Baltika and Ochakovo, to name but a few. They're in the main established on the Russian market and represent the majority of our regular clientele.

#### **How do you tie these customers down?**

We signed direct contracts with our main customers, such as PepsiCo, Coca-Cola and Heineken. However, we supply them on a decentralized basis, i.e. from the works nearest the customer's location. This shortens the delivery time and reduces the transport costs. Seeing that all our production works are certified by these companies, it doesn't matter from which Europlast operation the goods are delivered.

#### **What other benefits do you offer your customers?**

A central aspect is our objective of providing our customers with an outstanding performance from the product quality right to the logistics. The quality of our products has absolute top priority. Our logistics centre permits us to prepare a consignment ready for despatch within twenty minutes.

#### **On your website you express the hope of becoming the market leader in PET preforms and bottle closures.**

##### **How close to achieving this goal is Europlast?**

It's not that we aim at being market leaders in matters of quantity, but of quality. We want to set the benchmark in Russia for first-class products. This is our mission and we're on the right track.

**"TOP PERFORMANCE ALONE  
IS WHAT COUNTS, FROM QUALITY  
RIGHT TO LOGISTICS."**

Leonid Belyaev, General Director

#### **Is this the reason why you rely on injection moulds from Switzerland?**

We chose this direction with the purchase of our first system 15 years ago. The decision has proved to be right and the cooperation on the whole is still highly successful. We are very pleased that companies with such tradition and quality exist. I can give only the most favourable comments on the moulds of Otto Hofstetter AG. However, our satisfaction goes beyond the products. In the times when the Russian economy didn't run quite as smoothly, we had a very understanding business partner in Otto Hofstetter AG, and we're grateful for this.

#### **Do you see more growth potential for Europlast in Russia or in Europe?**

As far as the Russian market is concerned, we don't need much more additional production capacity in the area of preforms. There's an opportunity because various beverage producers have given up making their own preforms. Coca-Cola, for instance, discontinued its production three years ago. Another company, Baltika, is planning a similar step. I have my reservations as regards Europe. In my view, the business isn't as attractive as it was ten years ago.

#### **In other countries the share of added regranulate is clearly higher than your 15 percent. Is a development in this direction possible here?**

In Russia, 530,000 tons of raw material is processed each year. Only 10 percent of this is collected. Waste PET, therefore, is difficult to get. We have to buy collected PET in order to have enough material for our Plarus recycling works. I don't believe that much can be moved in this direction before a law comes into force which prescribes the collection duty. To make the recycling business profitable under these circumstances isn't possible in Russia at this time.

#### **In the company presentation of Europlast, you report the development of a new generation of modern technology. What do you mean by this?**

No specific technology is concerned here. We're rather thinking of a diversification of our business. What we have in mind, for example, is whether or not we should set up our own development office for preforms. This would give us the possibility of marketing our own designs, which in turn would provide extra value for our customers.

#### **It appears to us that a bright future lies ahead of Europlast. Where do you see your enterprise in ten years' time?**

Our intention is to develop further. We want to create new products which are appreciated in the market. What's most important in this is that we meet the wishes of our customers and that we continue on the chosen quality path without compromise. To be the number one supplier is and remains our objective.

**Mr Belyaev, we wish you many more successful years with Europlast. Thank you very much for your time and the lively discussion.**

"EUROPLAST CREATES  
PRODUCTS WHICH THE MARKET  
APPRECIATES AND WANTS."

Vartan Bagdasaryan, Production Manager



The Association of plants Europlast produces PET preforms and bottles and closures. The group's head office is in Moscow. Apart from the main works in Solnechnogorsk, the enterprise runs five other production plants in Russia. The PET refinery Senegal and the PET recycling works Plarus are also part of the Europlast Group.

[www.europlast.ru](http://www.europlast.ru)

# COOL PET THINGS.

PET is a **very valuable raw material**. Numerous initiatives are in operation worldwide to keep the high-grade plastic in circulation. There are three options for this: **recycling** and use of the regranulate in PET production, recycling and onward processing into textiles, or – with much **inventiveness** and imagination – finding **new applications**, such as, for example, the Christmas illuminations in Zurich.



During the Advent season of 2009 a total of 900 stars were lit along Löwenstrasse in Zurich. It was Francesco Mariotti who developed the breathtaking Christmas illuminations. This Swiss artist who devotes himself to objects, installations and light has been living and working in Zurich since 1987. His oeuvres are admired all over the world. The festive sea of lights consisted of 28 star garlands and a central installation above Löwenplatz.

Francesco Mariotti was supported in his project by the designer Beat Seeberger-Quin. They developed the Christmas illuminations together and for the implementation relied on people engaged in a social work project. One individual star consisted of eight shrunken PET bottles, within each of which there were six LEDs installed as light sources. A plastic tube with two lids connected the bottles.

At the time the local media praised the festive light installation made from collected PET bottles as a huge success. The President of the Zurich Town Council interpreted the sea of lights on Löwenstrasse as a symbol of the spirit of innovation that reigns in Switzerland, and admired the consciously careful use of precious raw materials.

Projects from creative people, such as Francesco Mariotti in Zurich, that use discarded PET bottles, appear all over the world. They all prove that PET is a valuable and inspiring basic material, be it in virgin form or recycled from collected waste. Here are some further design objects of various origins.

# 1 Eco Chaise Longue

Paweł Grunert, Warsaw, grunert.art.pl

# 2 Newspaper holder

Ryter Design, Zurich, ryterdesign.ch

# 3 Bottleboy

Walking Chair Design Studio, Vienna, walking-chair.com

# 4 P.E.T. Light

Walking Chair Design Studio, Vienna, walking-chair.com

# 5 Verso Diverso

Nicolas Le Moigne, Lausanne, nicolaslemoigne.ch



# THE TRAVEL CENTRE IN UZNACH.

Valuable freight must be packed professionally – a task to which Erfan Bytyqi attends with his utmost care.

**Ninety-nine percent of Hofstetter injection moulds for plastics packaging articles and PET preforms are ordered by customers from outside Switzerland. Exporting the sometimes extremely heavy and valuable moulds from Switzerland and importing them into the country of destination calls for special skills. Organizing transport, completing customs forms and preparing freight papers often require particular knowledge and strong nerves. Attributes which characterize Daniela Kugler and Diana Bianchi in the export and despatch department of Otto Hofstetter AG.**

Otto Hofstetter AG supplies customers around the globe. On peak days ten moulds and countless spare parts leave the Uznach works. The result: an average of 1200 consignments each year. Every consignment must be planned, provided with the necessary delivery documents, coordinated and monitored. There is very little routine work in all this. "There aren't any standard procedures to follow and hardly any model forms for us to pick up and complete. Every order is different." This is why two efficient ladies take care of these tasks at Otto Hofstetter AG: Daniela Kugler and Diana Bianchi. They are the "travel centre" for all PET and PAC moulds, individual components and accessories.

#### Dozens of regulations.

"Customs invoices, export declarations and despatch documents are usually similar. To clarify everything in the context of transport, however, gives us with new challenges on a daily basis." Daniela Kugler remembers a consignment for Argentina. A company needs an import licence to be able to import goods into this South American country, and the papers must match the order acknowledgment exactly. Nothing must be missing or added, not even the smallest detail. Customs will reject the consignment if any deviations are detected. "I have just experienced something similar with a delivery to Venezuela. Our timber case, firmly screwed together and secured with steel bands, is ready to be picked up. But the customer has been waiting for the import licence for almost three months." Diana Bianchi regrets that there isn't anything she can do in such cases. "Administrative hurdles of this nature are highly annoying for the customers and not exactly conducive to their business."

#### New destination China.

Export orders have increased substantially since Otto Hofstetter AG has been represented in China. This means new tasks, new regulations and new procedures. "Initially, we had difficulties with the new conditions. After a familiarization period the work has become easier, but China is still very complicated as regards regulations. "We have to

answer up to five different questions per order position, and it doesn't take much for one of our moulds to be made up of fifty positions. This means much paperwork and time." But Daniela Kugler takes it calmly, as the process becomes less complex with the second or third delivery of the same mould type. From experience, however, she rather doubts that the new free trade agreement between Switzerland and China will simplify her job.

#### Good preparation accelerates things.

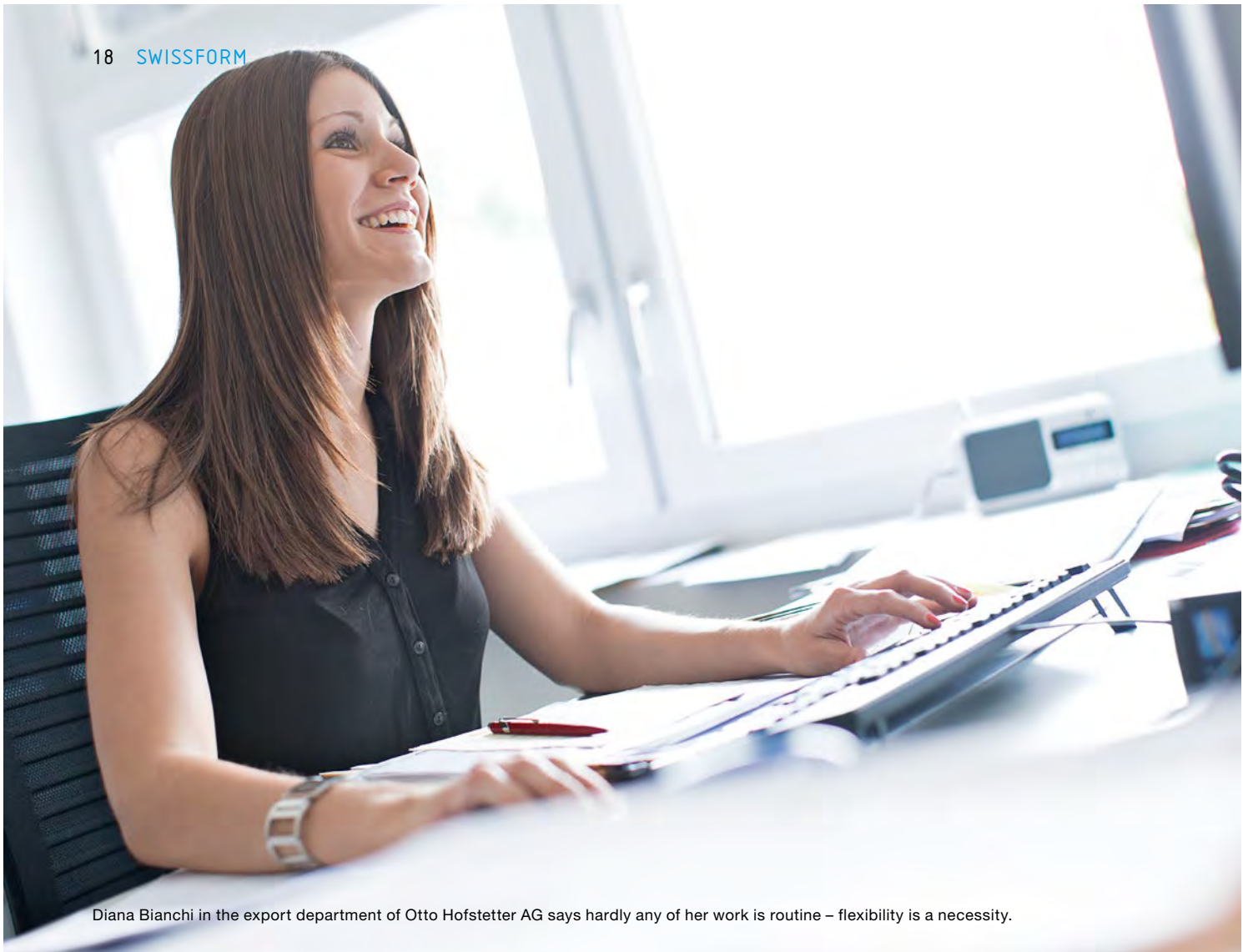
To make the process as plannable as possible, Daniela Kugler and Diana Bianchi prepare the required papers to the best of their knowledge. Once everything is completed, the documents are submitted to the customer for examination. Unpleasant surprises can often be avoided in this manner. "Customers in Poland, for example, frequently pick up their goods in Uznach themselves. In these cases, we make all preparations in advance with a Swiss customs agent. Everything is then quick and easy for the driver. We know from experience that once the wheels are turning, we can't intervene any more."

**"THERE AREN'T  
ANY STANDARD PROCEDURES  
OR MODEL FORMS."**

Daniela Kugler, specialist in export/despatch

#### Planning in good time.

The decision on the suitability of the means of transport depends on the dimensions and the urgency. For bulky consignments within Europe, the company usually relies on lorry transport. As each kilo matters in airfreight, a case weighing two or three tons can soon cost several thousand Swiss francs. Generally speaking, heavy goods to overseas destinations go by ship, smaller and lighter consignments by air. Planning in good time is a must considering that a sea journey to China can take four weeks. Special aspects



Diana Bianchi in the export department of Otto Hofstetter AG says hardly any of her work is routine – flexibility is a necessity.

such as the ‘closing time’ of several days must also be taken into account. This is why the two export-experienced ladies at Otto Hofstetter AG reckon with a lead time of up to ten days for sea freight. “Together with the net period on the water, this results in a relatively long delivery time. The transport costs, on the other hand, are only a fraction of those of airfreight.”

**"SOMETIMES WE WOULD  
LOVE TO TRAVEL ALONG WITH  
OUR MOULDS."**

*Diana Bianchi, specialist in export/despatch*

#### **Preferences are considered.**

Apart from all compulsory papers, the export department tries to also fulfil the customers' wishes; for example, that the same documents don't look identical for all addressees. However, special requests are out of the question if compliance with the requirements of customs or tax authorities is necessary. “We have no leeway in this respect seeing that, in the end, the correct declaration and transaction is the responsi-

bility of Otto Hofstetter AG. Our customers don't always fully understand this, but we must remain firm.” Diana Bianchi is aware of the fact that her employer, exporting 99 percent of its production, could suffer very serious consequences in the event of a blacklisting by the authorities. “The credibility of our export documents is also part of our success.”

#### **Letters of credit mean more effort.**

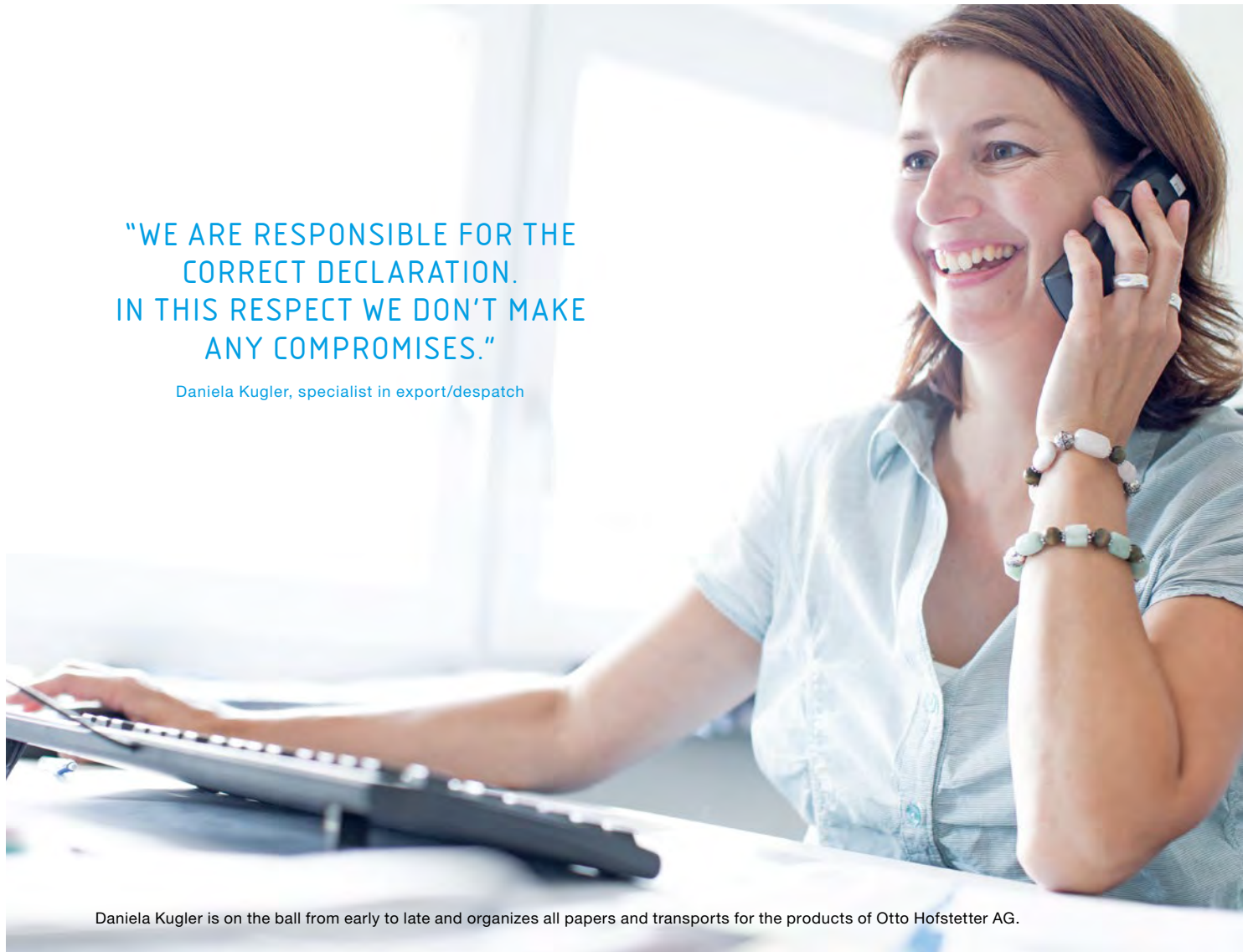
Orders connected with letters of credit or insurance coverage of the export risk need special treatment. “Such transactions lead not only to much additional paperwork, we also have to clarify whether or not the customer meets all prerequisites.” For a letter of credit (LC), Daniela Kugler and Diana Bianchi sometimes sit at the computer for several hours, if not days. Each individual position must be carefully checked and uncertainties sorted out with the customer.

#### **Life is full of surprises.**

Anyone engaged in this type of work will experience odd situations. Daniela Kugler and Diana Bianchi could write a book about theirs. One of their stories is about the USB stick containing mould-operating instructions which Russia refused to allow in the country. Or the foreign lorry driver

"WE ARE RESPONSIBLE FOR THE  
CORRECT DECLARATION.  
IN THIS RESPECT WE DON'T MAKE  
ANY COMPROMISES."

Daniela Kugler, specialist in export/despatch



Daniela Kugler is on the ball from early to late and organizes all papers and transports for the products of Otto Hofstetter AG.

who drove too fast and was then held by the police because he couldn't pay the speeding fine. "We had to remit the fine to the cantonal police before the officials would release the driver."

The two cosmopolitan ladies rarely reach their limits. "With Arab countries we sometimes let a male colleague talk on the telephone to make progress. However, since we usually communicate by e-mail, it isn't evident whether the message is from a woman or a man." Although very familiar with technical matters thanks to years of work with Otto Hofstetter AG, the team in despatch can count on support from the engineering department whenever there is a need for it.

#### **Import brings work as well.**

Consignments not only leave the premises in Uznach, they also arrive there. Having served to bridge bottlenecks, for example, hotrunners come back to the works or moulds come back for overhauls. "We can't plan how many consignments arrive here or leave us on a particular day." Daniela Kugler has been working in the export/despatch department for the last eight years. "One has to love this job, otherwise the nerves couldn't take the strain."

#### **Around the world.**

It's little surprise, then, that Daniela Kugler and Diana Bianchi enjoy travelling themselves. If you send goods to countries all over the world every day, you sometimes dream of travelling along as part of the freight. "If you work in this field and don't like travelling, you've probably got the wrong job." At the top of their wish lists are Mexico, Brazil and Venezuela. It remains open whether or not this preference has something to do with the fact that these countries, as far as export formalities are concerned, rank among the most difficult destinations.





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